Gender Bias and Governance Evasion in Boards of Indian Family Firms: Challenges and solutions

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ABSTRACT

The recognition of women's inheritance rights through the Hindu Succession (Amendment) Act, 2005 and the Companies Act, 2013 has renewed debate on gender equality in Indian family-owned businesses. Despite legal progress, significant barriers to fair succession persist. This paper examines the gap between women's formal legal rights and their actual participation in family enterprises. It analyses how family trusts, wills, and shareholder agreements often override statutory entitlements, reinforcing male-line succession. This paper identifies the strengths and limitations of current legal reforms and finds that patriarchal structures within business families frequently dilute women's control. To address these challenges, it proposes stronger enforcement of gender inclusion in corporate governance, greater transparency in family trust structures, and enhanced judicial oversight in succession disputes. Such measures can bridge the gap between statutory equality and actual participation, ensuring more equitable leadership and inheritance outcomes for women in family businesses.

Keywords: Women inheritance rights, family business succession, corporate governance, gender equity, family trusts, Indian family enterprises, company boards

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INTRODUCTION

In the boardrooms of India's leading family businesses, a striking paradox exists: women who could inherit wealth are often silent shareholders. In these families, daughters and wives hold a mixed position neither fully inside nor completely outside. They serve as peacemakers and shareholders, frequently called upon during disputes as neutral mediators. Their names may appear on share certificates, but they are absent from major decision-making.

This situation illustrates what legal scholars call "participatory exclusion," a system that offers formal inclusion while denying meaningful power. Historically, in a patriarchal society, women in business families acted as diplomatic links between male heirs. Today, they are stepping up as leaders in billion-dollar companies, changing traditional business models and redefining governance. Individuals like Kiran Mazumdar-Shaw, who grew Biocon from a garage startup into a global biopharmaceutical giant; Isha Ambani, who led Reliance's retail transformation; and Shobhana Bhartia, who reshaped media leadership at Hindustan Times, represent a new trend in Indian business leadership. Still, this change faces ongoing legal and structural obstacles.

The Indian legal system has progressed, notably with the Hindu Succession (Amendment) Act, 2005, which granted equal inheritance rights, and the Companies Act, 2013, which requires women to be included on corporate boards. However, turning legal recognition into real empowerment remains challenging. The gap between legal equality and actual participation continues to influence governance in Indian family businesses. This issue, noted in this study as "performative compliance," shows how legal conformity can hide deep-seated structural exclusions. Despite the recognized inheritance rights for women under the Hindu Succession Act, 1956, and the Indian Succession Act, 1925, along with provisions in the Companies Act, 2013, that encourage transparency and inclusion in corporate governance, women in Indian family businesses still face significant barriers to key decision-making roles and ownership control. The India: State of Family Business Report 2023 reveals that while 68% of surveyed family firms said women family members are actively involved, only 11 firms had women CEOs, and just two had women in senior leadership roles. This exclusion mainly stems from private legal documents, such as family settlements, trusts, wills, and shareholder agreements, which, though legally valid, are often set up to support male-line succession. This situation creates a gap between legal rights and real access to business control, raising serious concerns about the effectiveness of inheritance laws and corporate governance in promoting gender equity.

In recent years, the landscape of inheritance and succession laws in India has undergone significant changes, particularly with the amendments to the Hindu Succession Act, 1956, and the enactment of the Companies Act, 2013. These legal reforms aim to address gender disparities and promote women's ownership and leadership in family businesses. However, the effectiveness of these statutory reforms in ensuring women's equal rights to ownership and succession remains a critical area of inquiry.

This research aims to evaluate how the Hindu Succession Act, 1956 (as amended in 2005), and the Companies Act, 2013, impact women's ownership and leadership in family businesses. Additionally, it examines how private instruments such as family trusts, settlements, and shareholder agreements perpetuate patriarchal control and limit women's participation in governance. The study seeks to answer the following key questions:

1. How effectively have statutory reforms like the Hindu Succession (Amendment) Act, 2005, ensured women's equal rights to ownership and succession in family-run enterprises?

2. In what ways do private legal arrangements like trusts, wills, and shareholder pacts undermine women's access to inheritance and decision-making in Indian family businesses?

By addressing these questions, this research aims to shed light on the ongoing challenges and barriers that women face in achieving equal rights and participation in family-run enterprises.

RESEARCH METHODOLOGY

This study uses legal analysis to understand the situation of women in Indian family businesses. It relies on official reports, laws, and court decisions. The laws that govern succession and company management include the Companies Act 2013, the Hindu Succession (Amendment) Act 2005, and the Indian Succession Act 1925. These laws provide the main legal framework for this research. Additionally, Law Commission reports and parliamentary debates illustrate the gender perspective in succession and company control.

Court decisions that affect women's rights to inheritance and governance are also analysed. In the case of Pallonji Mistry v. Tata Sons, despite formal recognition of legal entitlements, women are still silenced in family businesses. At the same time, rights are advancing, seen in cases like Vineeta Sharma v. Rakesh Sharma (2020) and Danamma v. Amar (2018).

The paper includes a case study of specific family-owned Indian businesses such as TVS, Cholamandalam, Tata, Godrej, Wipro, and Kirloskar. These examples show how private legal tools like wills, shareholder agreements, trust deeds, and family settlements are used to maintain control in men’s hands, often sidelining women’s legal rights. The study compares the law with the actual practices of these companies.

The methodology also includes secondary sources like academic books, articles, and reports from trade organizations such as the CII and FICCI. These publications reveal the social context and support the legal analysis by detailing cultural customs, governance structures, and patterns of exclusion in Indian family businesses.

LITERATURE REVIEW

India's legal and institutional framework for gender equality and inheritance has changed significantly over recent decades. This has led to a complex interaction between constitutional guarantees, statutory reforms, judicial interpretation, academic critique, and ongoing socio-cultural practices. At the constitutional level, Articles 14 and 15 establish the principles of equality that support subsequent statutory changes. The Hindu Succession Act of 1956, which faced criticism for maintaining the Mitakshara coparcenary system that excluded daughters, was notably reformed by the Hindu Succession (Amendment) Act of 2005. This amendment repealed Section 6 and granted coparcenary rights to daughters from birth. Corporate governance reform, especially the Companies Act of 2013 (s.149(1)) and the Companies (Appointment and Qualification of Directors) Rules of 2014 (Rule 3), aimed to translate equality norms into boardroom representation by requiring woman directors in certain companies and by strengthening minority remedies (ss.241–242).

However, scholars and practitioners have observed a gap between formal rules and actual practice. Jurisprudence has influenced and reflected this change. Initial restrictive interpretations, such as in Prakash v. Phulavati (2016), shifted to more corrective rulings in Danamma v. Amar (2018) and the significant Vineeta Sharma v. Rakesh Sharma (2020). These later cases affirm that daughters’ coparcenary rights exist from birth, regardless of whether

the father is alive at the time of the 2005 amendment. Parallel developments in corporate and insolvency areas also highlight this trend. For example, in Pankaj Oswal v. Oswal Agro Mills Ltd. (2019), the NCLAT ruled that nominations cannot override statutory inheritance rights. Other disputes, like Ravi Ruia v. Essar Oil Ltd., show courts' growing reluctance to allow family arrangements to bypass substantive legal rights. Academic literature places these legal changes within broader structural and normative constraints. Bang et al. (2023) identify ongoing gaps between gender-equality laws and their application in family firms. Sharma and Rao (2000) and Cesaroni and Sentuti (2014) show that gendered succession patterns are repeated across different jurisdictions and cultures. Gaddis et al. (2022) argue that legal reforms are meaningful only when there is enforcement and societal support. Basu (1999) provides historical and political context for women's property claims in India.

Eagly and Carli (2007) explain the systemic barriers women face in leadership roles. Empirical studies on corporate boards confirm similar issues. Kumar and Singh (2020) identify a "leaky pipeline" and the symbolic application of s.149(1). Reddy and Jadhav (2019) document structural barriers, lack of mentorship, and gender biases in boardroom selection processes. Sarkar and Selarka (2021) find that while female directors may improve family-firm performance, their representation often remains tokenistic in organizations driven by promoters. Research on inheritance and empowerment highlights complementary dynamics. Biswas, Das, and Sarkhel (2020) show that longer exposure to gender-neutral inheritance reforms is linked to greater economic empowerment for women. Kesarwani (2023) calls for more systemic harmonization, like a uniform civil code, to tackle conflicting legal systems. Aggarwal (2023) points out low legal awareness and the ongoing influence of family norms that weaken statutory guarantees. Policy and practitioner reports support these academic insights. The PwC India Family Business Survey (2023) reveals governance challenges and the persistence of patriarchal succession patterns in promoter firms. Deloitte's Women in the Boardroom: A Global Perspective (2021) and the Grant Thornton International Business Report track slow progress in board diversity while noting ongoing underrepresentation. Practice guides, such as Cyril Amarchand Mangaldas' Indian Model Family Governance (2016), list private mechanisms like trusts, shareholder agreements, and family constitutions that families use, sometimes to sidestep the disruptive effects of legal equality. High-profile corporate appointments, such as Nisaba Godrej, Executive Chairperson of Godrej Consumer Products in 2017; Lakshmi Venu, Managing Director of Sundaram-Clayton in 2022; and Manasi Tata, Vice Chairperson of Toyota Kirloskar Motor in 2023, demonstrate the mix of progressive and traditional practices. Overall, this collection of laws, case law, scholarship, and empirical reporting highlights an important conclusion for this study. Statutory and judicial progress has significantly improved women's formal rights in property and corporate governance. However, persistent socio-cultural hierarchies, informal selection practices, and enforcement gaps continue to limit substantive equality in family succession and boardroom representation.

LEGAL FRAMEWORK AND IMPLEMENTATION REALITIES

3.1 *Current Legal Landscape in Governing Succession in Family Businesses*

Inheritance Law: Hindu Succession Act

The Hindu Succession Act, 1956 initially advanced women's property rights by granting full ownership and eliminating limited estates (Hindu Succession Act, 1956). However, it maintained the Mitakshara coparcenary system that excluded daughters from automatic inheritance by birth, perpetuating male-dominated landholding patterns that feminist scholars have extensively criticized (Basu, 1999). The transformative 2005 Amendment

granted daughters equal coparcenary rights by birth, with the same entitlements and liabilities as sons (Hindu Succession (Amendment) Act, 2005). The landmark Vineeta Sharma judgment interpreted this amendment retrospectively, protecting heirs' rights even when fathers died before the law's enactment (Vineeta Sharma v. Rakesh Sharma, 2020).

Despite this legal progress, empirical research reveals persistent gaps between statutory provisions and practical implementation. A 2020 NIPFP working paper documented continued discrimination against Hindu women in property devolution, driven by cultural norms and legal ambiguities that the 1956 Act inadvertently reinforced (Damle et al., 2020).

Indian Succession Act: Testamentary and Intestate Succession

The Indian Succession Act, 1925 provides a unified succession framework for Christians and Parsis, offering testamentary freedom to transfer self-acquired property through wills, thereby modifying default intestate distribution rules (Indian Succession Act, 1925). While the Act establishes gender-neutral intestate succession, traditional social practices undermine its implementation. Informal family settlements, influenced by male dominance and limited legal literacy, create substantial disparities between legal entitlements and actual outcomes, restricting women's ability to claim their rightful inheritance (Ghosal & Shams, 2025).

Corporate Governance: Companies Act, 2013

Woman Director Mandate (Section 149): Listed companies and those meeting specified financial thresholds must appoint at least one woman director to enhance gender diversity and governance quality (Companies Act, 2013, § 149). However, academic research questions this provision's effectiveness, highlighting persistent tokenism where women hold board positions without meaningful authority (Mittal & Lavina, 2018). Studies show mixed impacts on firm performance, suggesting superficial compliance rather than substantive change (Board role gaps, 2024). Qualitative research reveals women directors face heightened performance expectations and gender stereotypes, requiring significant emotional labor and behavioral adaptation (Deloitte, 2021).

Shareholding Transmission (Section 72): This provision enables legal transmission of shares to deceased shareholders' heirs (Companies Act, 2013, § 72). Yet family businesses frequently circumvent this through nominee clauses and informal transfers that effectively exclude women from succession benefits (Khaitan & Co., 2023). Limited scholarly examination of Section 72's misuse indicates a critical need for empirical research.

Minority Protections (Sections 241-242): These sections empower minority shareholders, including women, to petition the NCLT against oppression or mismanagement (Companies Act, 2013, §§ 241-242). However, procedural complexity and stringent evidentiary requirements create significant barriers, particularly for women in family-controlled enterprises. Governance studies emphasize how structural and procedural obstacles diminish these legal protections' practical value (Ministry of Corporate Affairs, 2024).

Reform Initiatives

The Law Commission's 174th Report (2000) catalyzed the 2005 Amendment by recommending elimination of gender-discriminatory provisions to align with constitutional values, demonstrating the Commission's influential role in legislative reform (Law Commission of India, 2000). Nevertheless, scholars argue substantial gaps remain, particularly regarding informal succession mechanisms such as nomination clauses, trusts, and undisclosed family arrangements that continue obstructing women's equal inheritance rights and governance participation, highlighting the ongoing need for comprehensive legal reform (Cyril Amarchand Mangaldas, 2016).

3.2 Judicial Interpretation and Trends

Landmark Coparcenary Rulings: Vineeta Sharma and Danamma

The Supreme Court's decision in Vineeta Sharma v. Rakesh Sharma (2020) represents a watershed moment in Indian succession law. The Court unequivocally established that daughters acquire coparcenary rights by birth, irrespective of whether they were born before or after the Hindu Succession (Amendment) Act, 2005 (Vineeta Sharma v. Rakesh Sharma, 2020). Critically, the judgment held these rights valid even when the father died before the amendment, emphasizing that daughters' coparcenary status is inherent from birth and therefore retrospective in application (Daughters retain coparcenary rights, 2020). This retrospective interpretation, while constitutionally significant, raises practical complications regarding property divisions or partitions completed before the 2005 amendment, creating tensions between legislative intent and administrative feasibility that scholars continue to debate (Section 6 of Hindu Succession Act, 2025).

The groundwork for Vineeta Sharma was laid in Danamma v. Amar (2018), which affirmed daughters as full coparceners entitled to demand partition (Danamma v. Amar, 2018). Vineeta Sharma extended this principle by definitively establishing that the father's death cannot bar daughters' coparcenary rights, providing comprehensive legal clarity on gender-equal inheritance.

Corporate Succession Disputes: The Oswal Case

The Oswal family business dispute illuminates how informal mechanisms like nominee designations can override statutory inheritance laws. When Abhey Kumar Oswal nominated his wife Aruna as holder of 5.35 crore shares, his son Pankaj filed an oppression and mismanagement petition before the NCLT, asserting his legal right to one-quarter share as an heir (Pankaj Oswal v. Oswal Agro Mills Ltd., 2019). The NCLAT ruled that Pankaj's petition was maintainable despite Aruna's nominee status, establishing a crucial precedent: nomination does not extinguish legal heirs' rights. The tribunal held that nominees hold shares temporarily and cannot supersede heirs entitled under intestate succession laws.

This case exemplifies how family-controlled businesses employ private legal instruments like nominations to marginalize heirs frequently women effectively circumventing statutory rights without clear legal recourse. It demonstrates corporate tribunals' evolving approach to reconciling informal family arrangements with statutory inheritance frameworks.

Judicial Primacy of Statutory Rights Over Private Instruments

While few cases directly address conflicts between family settlements or shareholder agreements and statutory inheritance rights, Vineeta Sharma establishes that private settlements unreasonably restricting daughters' coparcenary rights are impermissible (Vineeta Sharma v. Rakesh Sharma, 2020). The judgment affirms statutory supremacy, effectively invalidating informal arrangements that contradict gender-equitable succession principles.

Similarly, the Oswal case reveals judicial skepticism toward control-transfer mechanisms designed to circumvent inheritance laws (Pankaj Oswal v. Oswal Agro Mills Ltd., 2019). Collectively, these decisions indicate that while courts may respect family autonomy, they consistently prioritize statutory norms when private instruments conflict with legislated inheritance rights, particularly those ensuring gender equality in succession.

3.3 Private Legal Instruments and Gendered Exclusion

While laws like the Hindu Succession (Amendment) Act, 2005 give daughters equal inheritance rights, Indian family business owners use private legal tools to keep control in the hands of male heirs. They employ trusts, wills, family settlements, shareholder agreements, and nomination clauses to comply with the law while effectively excluding women from decision-making. These practices highlight the conflict between legal inheritance rights and private contractual freedom.

Trusts as Succession Mechanisms

Family trusts serve as strong tools for maintaining control and limiting women's roles in management. By giving decision-making power to trustees, usually older male family members, trusts separate economic benefits from management rights according to the Indian Trusts Act, 1882. For instance, the Tata Group exemplifies this setup: over 66% of total equity is held by Tata Trusts, whose boards are mostly male. Similarly, Azim Premji's trusts maintain Wipro's charitable and ownership model but hand control to his son Rishad, leaving female family members merely as beneficiaries without a voice in governance.

Wills, Family Settlements, and Shareholder Agreements

Wills, settlements, and shareholder agreements often favor sons and male cousins with controlling stakes while limiting women to smaller or non-controlling shares. Family settlements in the TVS and Kirloskar groups divided business assets along male lines, with daughters largely missing from board-level decisions. The Kirloskar family feud from 2016 to 2021 showcases this trend, where disputes over corporate control were settled between brothers, leaving sisters out of governance discussions despite their legal rights.

Nomination Clauses and Control Bypass Mechanisms

Nomination clauses under company law allow shareholders to name equity successors and create another important bypass strategy. Families often designate sons or male relatives to inherit controlling shares, pushing daughters aside. The 2023 Godrej family property division highlights this: brothers negotiated asset distribution, excluding female family members from both the process and the results.

Tension Between Private Arrangements and Statutory Inheritance Rights

These private arrangements cause significant tension between legal rights and actual practices. Although the Hindu Succession Act grants daughters equal rights, courts frequently uphold family settlements, wills, and trust deeds as binding contracts, even when they leave women without real power. The Tata-Mistry dispute illustrates this issue: control of the Tata Group relied not on inheritance but on the interpretation of trust deeds and shareholder agreements, where gender was never explicitly mentioned in relation to succession.

3.4 Insights from Case Studies

Godrej Group: Progressive Inclusion with Persistent Control Gaps

The Godrej Group showcases both symbolic and substantial female leadership in Indian family businesses. In May 2017, Nisaba Godrej became Executive Chairperson of Godrej Consumer Products Limited (GCPL), taking over from her father, Adi Godrej. This transition showed her significant operational involvement and leadership in GCPL's strategy. Other female family members, like Tanya Dubash, hold key positions, illustrating that competence can lead to real governance authority for women. However, ultimate ownership and control still lie primarily with male family members, showing that power over voting rights and major decisions follows

traditional patriarchal patterns. Nisaba Godrej's resignation from VIP Industries' board due to disagreements over leadership accountability and succession planning further highlights the challenges women face in senior roles.

Tata Group: Formal Leadership Masking Promoter Control

The Tata Group case reveals how formal leadership can obscure the underlying dynamics of promoter control. Cyrus Mistry's chairmanship of Tata Sons from 2012 to 2016 ended in a legal confrontation that highlighted how the interests of the promoter class can overpower formal governance structures. Despite being the formal chairman, Mistry had limited operational control and decision-making power, which remained concentrated within the promoter class. This case indicates that even with requirements for transparency and accountability, power continues to concentrate, leaving those outside of— or even within with conflicting interests—the core promoter group practically excluded.

Kirloskar, TVS, Cholamandalam: Patriarchal Succession Frameworks

After Vikram Kirloskar's death in 2022, his daughter Manasi Kirloskar was named Vice Chairperson of Toyota Kirloskar Auto Parts (TKAP) and Toyota Kirloskar Motor (TKM). Her mother, Geetanjali Kirloskar, holds important positions, showing a genuine transfer of enterprise responsibilities. Nonetheless, the overall structure remains patriarchal, with male members controlling major ownership stakes and making key decisions.

In the TVS Group, women like Lakshmi Venu are taking on leadership roles, but succession still heavily favors men. Women may participate in ownership or board roles, but full operational control usually stays with male heirs. The Cholamandalam/Murugappa family continues to follow patriarchal models, with family ownership and leadership primarily following male lineage. Important succession decisions remain male-dominated, and private legal tools reinforce these patterns.

Comparative Analysis: Tokenism versus Real Inheritance

A crucial distinction arises between tokenism and genuine inheritance. Real inheritance includes meaningful control over decision-making, ownership, promoter rights, and succession appointments. Tokenism offers formal and symbolic roles without real influence over ownership or strategic decisions.

The appointments of Manasi and Geetanjali Kirloskar illustrate true inheritance, as they involve both authority at the board level and operational roles. Similarly, Lakshmi Venu's leadership at Sundaram-Clayton and TAFE shows real responsibility. Yet, the wider TVS group demonstrates a male-dominated succession, making her situation an exception.

Even in more progressive cases like Wipro and Godrej, the strongest control often remains with male family members. This creates a spectrum: at one end, tokenism satisfies legal requirements while keeping major control elsewhere, and at the other, real inheritance occurs in a few high-profile cases where women gain operational and governance authority. Movement along this spectrum is inconsistent and dependent on factors such as family size, public listing, regulatory influence, family culture, the education of women heirs, and private legal instruments supporting male dominance. While legal reforms provide an important foundation, turning formal equality into real control remains uneven and relies on ingrained family governance practices.

STATUTORY RIGHTS AND IMPLEMENTATION REALITIES

4.1 Statutory Rights vs. Implementation Realities

Corporate Governance and Inheritance Law Disparities:

One of the most important changes inherited in the Hindu Succession (Amendment) Act, 2005 was that daughters get the same rights in ancestral property as sons. The law came down to equal rights in coparcenary property along with the same number of rights, liabilities and duties which traditionally the male members of the family had. It was a significant step towards the destruction of the patriarchal way of succession which was deeply rooted in the traditional Hindu law. But when it comes to giving practical corporate governance power to women in family enterprises, it is found that there are still these gaps that are not only sporadic but systematic also.

Corporate governance mandates, particularly the Companies Act 2013 requirement for women directors, are examples of implementation difficulties that arise. Although the regulatory frameworks require women to be in the boards of the top-tier companies, the compliance is only superficial (Kumar & Singh, 2020). According to the current statistics, women are holding only 17.6% of the board seats in NIFTY-500 companies, and during the last three years, their number increased only by 1%, which means that if the current trend continues, gender parity will be reached only by 2058.

What is even more important is that, even in the cases when women are getting the board positions, they are mostly given to the departments that are out of the company's activities, such as Corporate Social Responsibility, communications and brand management, but not to the departments of strategic operations or promoter control functions. On the other hand, the enforcement mechanism exposes the weaknesses of the system such as very small fines that are allowed for large corporations, which may not be strong enough to motivate them to comply with the law. Recently, there have been deep analyses of the corporate landscape in India which show how unresolved succession plans and informal ownership structures are leading to tough family disputes in the boardrooms of companies. This is a good example of how informal power dynamics are still alive even though there are formal legal frameworks in place.

Judicial Reinforcement vs. Practical Disenfranchisement

Over time, the court judgments which backed women's inheritance rights became more and more decisive. For instance, The Supreme Court's verdict in Vineeta Sharma v. Rakesh Sharma (2020) authoritatively affirmed that daughters are the co-parcenary owners no matter whether their father was alive or not when the amendment was enacted. This decision explained that the acquisition of coparcenary rights is by birth and not dependent on the survival of the father. Though the progressiveness of inheritance law reforms worldwide and in South Asia can be seen through the analysis of case law, the gender gap in practice remains wide. The research of court decisions shows that out of all cases filed by women, 77% result in them being granted some share of the property, but only 52% of them receive the complete share as prescribed by law (Agarwal & Naik, 2024).

This 25-point gap indicates that women still face challenges in realizing their legal rights. Family disputes have a major impact on the time of inheritance resolution as they are the main reason for delays, which is much more than procedural complications. The research additionally highlights that brothers are the ones that are most often named as opponents of women's claims while the disputes are mostly about land, especially agricultural properties. This suggests that the traditional family hierarchies have still not been overcome by the legal mandates.

4.2 Patterns of Success and Exclusion

Enabling Conditions for Successful Inclusion

Several factors support women's inclusion in family business leadership. Equal access to education and early exposure to operations are essential (Brush, 1992). Women with business or technical degrees and those responsible for profit-and-loss management transition into leadership roles more easily (EY, 2015). Clear governance practices and external pressures, like regulatory requirements and investor expectations, also help improve inclusion (How to get more women in boardroom, 2004).

Systematic Exclusion Mechanisms

Despite new laws, exclusion practices still persist. Cultural norms around male succession remain strong, and women often feel pressured to accept smaller shares (Naaraayanan, 2019). Private legal arrangements, such as family trusts and shareholder agreements, undermine the intention of the laws while technically following them (Cyril Amarchand Mangaldas, 2016). Research shows that women continue to be left out of decision-making in family businesses, often restricted to roles without executive power (Women in family business, n.d.).

Sectoral and Cultural Variations

Patterns of inclusion differ across company sizes, industries, and family backgrounds. Larger multinational companies and publicly traded firms show better inclusion due to regulatory oversight (Women on Nifty500 company boards, 2025). Consumer-focused businesses offer easier paths for women to take on leadership roles, while heavy industries have more obstacles (Mehta, 2015). Family culture plays a significant role, as families that promote women's education and job market participation tend to support equal rights to inheritance (PricewaterhouseCoopers, 2023).

4.3 Institutional and Structural Barriers

4.3.1 Enforcement Mechanism Weaknesses

Enforcing legal frameworks remains weak, especially for rural and tribal women (Agarwal & Naik, 2024). Administrative systems are overwhelmed, and mandatory disclosure rules are not enforced consistently (Ministry of Corporate Affairs, 2024). The gap between the law's promises and people’s experiences stays wide because of insufficient enforcement infrastructure.

4.3.2 Litigation Costs and Procedural Barriers

Structural barriers, like complex procedures and financial challenges, impede progress. Probate processes can be lengthy and bureaucratic, discouraging women from claiming their rightful ownership (Ghosal & Shams, 2025). High legal fees and court costs often force women to resolve issues informally or to give up on their claims.

4.3.3 Regulatory Gaps in Private Instruments

Private legal instruments, such as wills and trusts, play a crucial role in inheritance but lack proper regulation (Khaitan & Co., 2023). These tools often operate without public oversight, using inconsistent documentation to uphold traditional power dynamics. Judicial oversight is limited, and courts are reluctant to get involved unless clear discrimination is evident (Pandey, 2016). This regulatory gap allows for the continued denial of women’s rightful inheritance.

STRATEGIC RECOMMENDATIONS AND POLICY INTERVENTIONS

5.1 Legal and Regulatory Reform Framework

Integrating Succession Planning with Corporate Governance Mandates

The gap between legally defined inheritance rights and actual business control calls for a systematic connection between succession law and corporate governance frameworks. The current regulatory structure treats inheritance rights and corporate governance as separate areas. This separation allows family businesses to take advantage of legal loopholes, which lets them bypass gender equality requirements.

Mandatory Succession Disclosure Requirements: The Ministry of Corporate Affairs (MCA) and the Securities and Exchange Board of India (SEBI) should require detailed succession planning disclosures for family-controlled businesses. This rule should focus on companies where promoters own more than 25% and those with established family trusts. These companies must disclose formal succession plans showing clear paths for leadership transitions across generations, family settlement deeds that demonstrate changes in control and ownership, nomination clauses that explain how shares transfer upon death or incapacity, and all agreements that significantly affect voting rights or strategic control. This includes non-compete clauses, non-interference provisions, and preferential share transfer arrangements.

This transparency framework will allow multiple stakeholders—regulators, institutional investors, and minority shareholders—to determine if daughters and female family members receive true governance rights and real control or just token representation that meets legal standards. Recent regulatory changes made by SEBI are based on principles of openness and disclosure, creating a solid foundation for these specific directives (Ministry of Corporate Affairs, 2024). However, existing family governance issues and the presence of informal power structures may limit how effective disclosure requirements can be.

Regulating Private Legal Instruments for Gender Equity

Family trusts, nomination clauses, and settlement deeds currently operate in regulatory gray areas, falling outside effective regulatory oversight. They systematically evade statutory inheritance equality provisions outlined in the Hindu Succession (Amendment) Act, 2005. There is an urgent need for these private legal instruments to be placed under solid regulatory oversight to prevent the consistent undermining of gender equality mandates (Cyril Amarchand Mangaldas, 2016).

Trust Structure Regulation: Family trusts holding business shares should need to meet minimum equity standards that include the following provisions: heirs must be treated equally regardless of gender in terms of benefits and control rights; trust deeds must be transparent and accessible to all beneficiaries, not just trustees or select family members; clauses that indirectly favor male heirs through means like concentrated voting rights, control over appointments, or unequal distribution must be banned; and independent trustees must be appointed for trusts holding significant assets to ensure fair management.

Legislation could also specify that nomination rights must always align with legal inheritance rights unless explicitly revoked through documented and publicly disclosed consent processes, which include clear justification (Khaitan & Co., 2023). This addresses the common practice where nominees, often wives or

mothers, temporarily hold shares but feel pressured to transfer control to male heirs, effectively disenfranchising daughters who have equal legal rights.

Judicial Scrutiny Standards: Courts should receive clear guidelines for reviewing family agreements and private arrangements to spot gender bias and unfair provisions (Pandey, 2016). Right now, judicial oversight mainly focuses on the formal correctness of instruments—like whether they are properly executed, stamped, and registered—while paying less attention to whether technically compliant but practically discriminatory arrangements go unchallenged. Courts should be empowered to examine the real fairness of family arrangements, not just their procedural correctness.

Strengthening Enforcement Architecture

No matter how developed and progressive legal systems are, they won't work well without strong, credible enforcement mechanisms (Agarwal & Naik, 2024). The penalties for violations related to corporate governance are so low that they do not encourage meaningful compliance, especially among large corporations where small fixed fines are virtually insignificant. At the same time, the court systems for inheritance disputes suffer from lengthy delays and high costs, which discourage legitimate claimants, particularly women who might not have independent financial resources.

Enhanced Penalty Structures: Fines for failing to comply with corporate governance requirements, including succession disclosure mandates, should be significantly raised and based on company revenues rather than fixed amounts (Ministry of Corporate Affairs, 2024). Companies that do not disclose succession plans or family agreements should face increasing penalties that rise with ongoing non-compliance.

Specialized Dispute Resolution Mechanisms: There is an urgent need for the immediate creation of specialized inheritance tribunals that exclusively handle family business succession disputes. These tribunals should have simplified procedures, faster timelines, and lower costs. They must include experts in corporate governance and inheritance law, closing the current gaps between company law tribunals and civil courts that address succession issues.

Furthermore, mandatory alternative dispute resolution methods like mediation should be required as the first step in family succession cases before any litigation (PricewaterhouseCoopers, 2023). This approach can lessen the conflict in disputes, maintain family relationships, and lead to quicker resolutions. Research shows that organizations with strong diversity and equity programs often report better financial results and improved innovation, offering solid economic reasons for these enforcement measures beyond just fairness (Deloitte, 2021).

5.2 Institutional and Policy Architecture

Industry Standards and Transparency Frameworks

Family Business Governance Codes: Industry groups and policy organizations need to create inclusive governance codes tailored for family businesses, focusing on gender-balanced succession planning (Carlock & Ward, 2001). These codes should include standardized templates for succession plan disclosures, clear nomination processes for promoter control rights, mandatory rotation or shared leadership to include women heirs, and internal governance structures such as family councils with set gender representation requirements.

Certification and Rating Systems: Environmental, Social, and Governance (ESG) scoring frameworks should clearly incorporate equity metrics in family business succession. Increased attention to ESG provides market incentives for fair practices (PricewaterhouseCoopers, 2023). Certification programs that recognize gender-equitable succession as a best practice can improve access to capital markets and strengthen relationships with stakeholders.

Regulatory Oversight Enhancement

Expanded SEBI Mandates: The current requirements for women directors should serve as the foundation for greater leadership representation (Companies Act, 2013, § 149). The 2023 PwC Global Family Business Survey indicates that companies failing to undergo significant changes risk losing their trust premium, leading to market demand for stricter governance standards (PricewaterhouseCoopers, 2023). SEBI could require: large listed companies to have at least two women directors; women to occupy executive management roles in promoter groups; and gender diversity targets for board committees that manage succession and nomination tasks.

MCA Compliance Monitoring: The Ministry of Corporate Affairs should set up monitoring systems for family-controlled businesses, with particular attention to related party disclosures that may hide succession arrangements (Ministry of Corporate Affairs, 2024). Penalties for failing to disclose should involve escalating sanctions that encourage real compliance rather than just nominal fines.

5.3 Cultural and Capacity Building Initiatives

Legal Literacy and Awareness Programs

Comprehensive Educational Frameworks: Legal literacy programs for female heirs should use various methods. These include law school clinics focused on inheritance rights, workshops led by NGOs in local languages for both rural and urban audiences, seminars by family business associations highlighting successful female succession cases, and digital platforms that offer easy access to legal advice and document templates (Ghosal & Shams, 2025).

Professional Capacity Building: Legal professionals, accountants, and family business advisors need training in gender-sensitive succession planning. This training should cover identifying and addressing unintentional bias in succession advice, understanding how personal and corporate law intersect in family businesses, and developing culturally sensitive methods for family governance discussions (Indian School of Business, n.d.).

Norm Transformation and Incentive Structures

Merit-Based Succession Promotion: Cultural change requires initiatives that support merit-based succession instead of gender-based succession. This can be achieved through leadership development programs that engage women heirs early, structured mentorship opportunities, clear performance evaluation systems for succession candidates, and recognition programs that celebrate successful transitions toward gender equality (Brush, 1992).

Market and Social Incentives: Investor preferences, media coverage, and social recognition should encourage companies to practice fair succession (EY, 2015). PwC's India Family Business Survey 2023 points out governance challenges that present opportunities for intervention, creating strong reasons for changing practices (PricewaterhouseCoopers, 2023).

Institutional Support Networks: Professional associations, business schools, and advisory firms can help promote gender-equal succession. They can achieve this by conducting research, creating case studies, forming peer learning networks for women in family businesses, and offering advisory services to address succession transition challenges (Bang et al., 2023).

Integration and Implementation Strategy

These recommendations require coordinated action across legal, regulatory, and cultural areas. Recent SEBI reforms and increased ESG awareness create conditions that support systematic change. However, successful transformation needs political will, institutional strength, and cultural involvement beyond basic legal compliance (Ministry of Corporate Affairs, 2024).

A phased approach prioritizes interventions that have a high impact and face low resistance. This includes disclosure requirements and transparency frameworks, followed by structural reforms and simultaneous cultural initiatives. This strategy ensures legal compliance happens in supportive environments. Regular monitoring using quantitative metrics, such as women's leadership representation and succession dispute frequencies, along with qualitative evaluation involving stakeholder feedback and indicators of cultural shifts, allows for ongoing reform progress towards real gender equity in Indian family business succession (PricewaterhouseCoopers, 2023).

CONCLUSION

The study highlights the main issue in managing Indian family-run businesses. Although women have the same inheritance rights as men due to laws like the Hindu Succession (Amendment) Act, 2005, and the Companies Act, 2013, private legal tools still seem to be ahead of these achievements (Bang et al., 2023). Family trusts, nomination clauses, shareholder agreements, and settlement deeds serve as complicated exclusion mechanisms. While these may not differ much from legal requirements in form, they significantly limit women's control over corporate organizations in substance (Cyril Amarchand Mangaldas, 2016).

The court examined the structures based on the Tata trust compared to patriarchal succession settlements in the Kirloskar and TVS families. This revealed how private agreements were formed even while legal equality existed and how they favoured male heirs (Indian Institute of Management Bangalore, 2025; India family business succession feuds, 2025). The highest court rulings in the Vineeta Sharma and Danamma cases confirmed women's coparcenary rights (Vineeta Sharma v. Rakesh Sharma, 2020; Danamma v. Amar, 2018). However, structural issues related to law enforcement agencies create problems in actual empowerment. This leads to gaps between legal victories and practical empowerment (Agarwal & Naik, 2024).

Researchers have described "compliant circumvention" as those practices that follow the law strictly but are, in reality, against its spirit (Minow, 1990). Women often get formal board positions, but they are still systematically excluded from strategic decision-making and promoter control functions. This shows that merely meeting gender equity policies regarding quality is not enough (Mittal & Lavina, 2018).

Addressing these challenges is complex and requires the involvement of people from various fields. The efforts must include three coordinated interventions: first, regulatory reform that mandates disclosure requirements for succession and enhances oversight of private legal tools; second, enforcement mechanisms made more effective through specialized inheritance tribunals and meaningful penalties; and third, ongoing cultural transformation in India that supports merit-based succession norms and institutional support networks (PricewaterhouseCoopers, 2023).

The issue of excluding women in Indian family businesses extends beyond just enterprises. In the future, India’s economic competitiveness will depend heavily on how well it unleashes the full potential of its human capital, including women (Naaraayanan, 2019). Gender exclusion is not just a social issue or an economic inefficiency. It negatively impacts national development goals.

Changing the management of Indian family businesses to achieve genuine gender equity is not impossible, but it requires more than advanced legislation with weak implementation. It needs comprehensive reform aligned with legal frameworks, institutional capability, and cultural norms (Deloitte, 2021). While mythology shows daughters inheriting kingships, India must now ensure that formal equality translates into real empowerment in boardroom.

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